

Freeport-McMoRan Inc. (NYSE: FCX) — IC Memo

Rating: HOLD (source-conditional, cautious) · **12-mo PT \$66.23** (range \$36.80–\$105.00) · **Expected return –2.5%** (prob-weighted) **As of:** 2026-06-11 · **Price:** \$66.20 (S4: 2026-06-11 close) · **Sector:** Materials · Copper / Diversified Metals & Mining **Mandate sizing:** benchmark-weight / modest underweight; **small long-SCCO / short-FCX quality-and-jurisdiction pair** is the relative-value expression.

Headline (source-conditional Hold, fully valued at the high): FCX at \$66.20 carries a probability-weighted 12-month expected return of **–2.5%** to a base-case PT of **\$66.23** (FY27E EPS \$3.58 [S4: consensus FY27E ~\$3.84 at higher copper] × P/E 18.5x); scenario-weighted range **[–44.4%, +58.6%]**. FCX is a high-quality copper leader, but the stock is at its **52-week high** (~\$66, +55% over 1yr) on **near-record copper** (~\$6.19/lb COMEX [S4: ~40–55% above a \$4.00–4.50/lb mid-cycle anchor]), trades **above** its own ~7.8x 5-yr EV/EBITDA average on peak earnings, and consensus PTs sit only **~+4–6% above spot** (median \$70, S4) despite 83% Buy ratings — the easy upside is gone. **CONDITIONAL** on (i) the copper price holding near spot (the dominant S4 driver) **and** (ii) the Grasberg block-cave recovering on the revised 2026–2027 ramp after the September-2025 fatal mud-rush. **If** copper falls <\$4.75/lb sustained **or** the FY2026 copper guide is cut again <3.0 Blb **or** unit cash cost guide rises >\$2.10/lb, the bear branch dominates (~30–45% downside on the operating + multiple double-derate); **if** copper holds >\$6.25/lb on the structural deficit **and** Grasberg fully recovers in 2027, upside re-opens. The structural copper-deficit tail keeps this a **Hold, not a Sell** — but we would not chase at the high.

§1 Thesis in brief

FCX is the **large-cap US-listed leverage to the structural copper/electrification thesis** — ~3.4–3.6 Blb/yr of copper plus major gold (Grasberg gold credits) and molybdenum, a low-cost Americas portfolio, a fast-growing low-capital leaching "virtual mine," and downstream smelting. The view is **source-conditional** and the call is **fully valued at the high**. At \$66.20 the probability-weighted return is **–2.5%** with a **left-skewed, fat-tailed** distribution. The bull leg is real: copper faces a structural deficit (declining grades, thin pipeline, grid/EV/AI demand), each \$0.10/lb is ~\$400M of EBITDA, Grasberg recovers in 2027, and leaching scales toward ~800 Mlb at <\$1.00/lb. But the stock prices much of it: copper at ~\$6.19/lb is ~40–55% above a \$4.00–4.50 mid-cycle, FCX's ~10x EV/EBITDA is above its ~7.8x 5-yr average **on peak earnings** (double-counting the cycle), and ~40–50% of value rides on **Grasberg** — state-majority-controlled (MIND ID 51.24%), mid-recovery from a fatal mud-rush, on a high-risk block-cave ramp, and subject to Indonesian export/divestment policy (FCX's stake steps to ~37% from 2042). With consensus PTs only ~+4–6% above spot, the asymmetry is to the downside → **Hold, conditional on** copper holding and Grasberg recovering. The structural-deficit tail keeps it from a Sell. The actionable stance is **benchmark-weight/modest-underweight** and a re-entry on a copper dip below ~\$5.50/lb or a Grasberg de-risk.

§2 The five-scenario framework (FY27E EPS × P/E, copper-driven)

Scenario	Prob	FY27E EPS	P/E	PT	Return
strong_bear	12%	\$2.30	16.0x	\$36.80	–44.4%
bear	23%	\$2.95	17.0x	\$50.15	–24.2%
base	40%	\$3.58	18.5x	\$66.23	+0.05%
bull	18%	\$4.20	19.5x	\$81.90	+23.7%
strong_bull	7%	\$5.00	21.0x	\$105.00	+58.6%

Weighted expected return –2.5%; P10/P90 [–44.4%, +58.6%]. HEADLINE CONDITIONALITY: source_conditional (top-3 anchors are led by the copper price (S4) and the FY2026 guide (S3) → headline must be source-conditional per G7). EPS is copper-price-driven; the bear de-rates the peak-cycle multiple on a halved EPS, the bull credits the deficit. (Full bridges in `outputs/FCX_scenarios.json`; G1/G4/G5 verified.)

§3 Three-method valuation reconcile

- EV/EBITDA comps (primary, D8 mining): ~\$66.** ~7.7x (FCX's 5-yr through-cycle average) on FY27E Adjusted EBITDA \$13.5B → EV ~\$104B – net debt + project debt + minority ~\$9B = ~\$95B equity / 1,443M sh (S4: SCCO ~20x / RIO ~7–8x). At ~10x on peak-copper LTM EBITDA the stock is *above* its average — the ~\$66 only holds if FY27 EBITDA stays near \$13.5B (copper near spot). No margin of safety.
- DCF: ~\$58** (range \$48–70). 10y mine-life DCF on a mid-cycle copper deck (\$4.75–5.00/lb), WACC 9.85% (beta 1.36 (S4: 5y weekly vs S&P 500); CoE 10.27%; equity-heavy), g 2.0% (S1: FRED DGS10 4.52%; S5: Damodaran ERP 4.23%). Below spot — strips the peak-copper premium and discounts the Indonesia single-asset/jurisdiction risk in the cost of equity.
- SOTP/NAV: ~\$70.** Indonesia/Grasberg (net of MIND ID 51% minority) ~\$40B, North America (incl leaching optionality) ~\$38B, South America (net of minorities) ~\$22B, less net + project debt. Monotonicity $NI \leq OP \leq GP \leq Rev$ holds (G3).
- Bear floor (not weighted): \$36–42.** \$4.50 mid-cycle copper × a de-rated 6x; approaches the 52-week low \$35.15. Anchors strong_bear \$36.80.

Methods cluster \$58–70; the comps primary lands at **~\$66 = spot** (fully valued); DCF below / SOTP above key off the copper deck.

§4 Financials & earnings quality (S1: XBRL companyfacts, CIK 0000831259)

\$M unless noted	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	22,855	25,455	25,915	~26,500	~28,500
GAAP EPS (diluted)	1.28	1.31	1.52	~2.69	~3.58
Adjusted EBITDA	~7,500	~8,800	~9,900	~11,500	~13,500
Operating cash flow	5,279	7,160	5,610	—	—

\$M unless noted	FY23A	FY24A	FY25A	FY26E	FY27E
Capex	2,422	2,565	2,949	~4,300	~4,500
Net debt (ex project debt)	—	—	~2,400	—	—

GAAP/non-GAAP parallel (reconciliation: present). GAAP earnings are commodity-volatile and provisional-pricing-driven (Q1'26 EPS \$0.61 on a \$5.78/lb realized copper price); the right frame is **copper-deck-explicit Adjusted EBITDA** with the copper sensitivity stated (~\$400M EBITDA per \$0.10/lb, S1) — not a single GAAP print. Q1'26 also carried a **\$406M idle-facility/restoration charge** (Grasberg, excluded from unit cost) and a **\$699M insurance settlement** (G11 reconciliation present; G12 FCF = OCF – capex, SBC ~0.5% of revenue (S1: XBRL) and immaterial). A large **minority interest** (MIND ID 51% of PT-FI, plus Cerro Verde/El Abra) sits between consolidated EBITDA and FCX-attributable cash flow — net debt is ~\$2.4B (below the \$3–4B target) but ~\$3.2B of PTFI smelter debt is ring-fenced. EY clean opinion; no restatement/going-concern.

\$5 The load-bearing risks

- Copper price correction (the dominant lever).** ~40–55% above a \$4.00–4.50 mid-cycle; Goldman sees a 2026 decline. With ~\$400M EBITDA per \$0.10/lb, a 15–20% correction removes ~\$3.7–5.0B of a ~\$13–14B EBITDA *and* miners de-rate the multiple at the same time → **~30–45% equity downside**. China property (~25% of world copper historically) remains impaired. *Mitigant:* structural deficit + declining grades support a higher floor than past cycles.
- Grasberg block-cave ramp + single-asset concentration.** The Sept-2025 mud-rush (7 fatalities, force majeure) cut the block-cave (~50% of PT-FI reserves); the phased restart (Blocks 2&3 Q2'26, 1S Q2'27) already slipped once and carries geotechnical tail risk. ~40–50% of value rides on this one asset. *Mitigant:* \$699M insurance booked; DMLZ/Big Gossan restarted; full recovery targeted 2027.
- Indonesia resource nationalism.** MIND ID owns 51.24% of PT-FI; the Feb-2026 MoU extends the license past 2041 only via FCX divesting another ~12% (stake to ~37% from 2042); export permits are short-dated and tied to domestic smelting; FCX contests an export duty; the Manyar smelter restart is pending. *Mitigant:* license extended to 2041 + MoU; governance preserved through 2041.
- Premium-on-peak valuation.** ~10x EV/EBITDA vs ~7.8x 5-yr average on peak-cycle earnings, at the 52-week high with PTs only ~+4–6% above spot. *Mitigant:* below net-debt target; performance-based payout; SCCO trades far higher (relative cushion).

\$6 Consensus variance (the edge, honestly stated)

One declared, S1/S2-evidenced load-bearing variance (V1): a DOWNWARD scenario-weight edge on peak-copper/multiple durability (~58% conviction, sizing ~2.1pp into the bear tails; $\text{sizing_impact_pp} = \text{magnitude } 18\% \times \text{probability } 58\% \times \text{sensitivity } 20\% / 10000 = 2.09$). The Street rates FCX 83% Buy yet its **own PTs sit only ~+4–6% above spot** — a "Buy" belied by targets at fair value. We mark (i) copper at ~\$6.19/lb as ~40–55% above a \$4.00–4.50 mid-cycle (S4; Goldman sees a 2026 decline), (ii) FCX's ~10x EV/EBITDA as above its ~7.8x 5-yr average on **peak** earnings, and (iii) the historical miner de-rate at cyclical commodity peaks — compounded by the Grasberg single-asset/permitting overhang. **This justifies sizing BELOW the Street and refusing to chase at the high — but it is two-tailed (the structural copper deficit + Grasberg recovery are genuine upside), so it supports Hold, not Sell.**

\$7 Regulatory & policy desk (S1/S2)

- US Section 232 copper:** refined copper was exempted in 2025; the June-30-2026 review may add a phased refined-copper duty (15% 2027 → 30% 2028). Two-sided: a tariff helps US cathode, but the record COMEX-LME premium embedded in FCX's realized price could deflate if the review disappoints.
- Indonesia (MEMR / MIND ID):** the IUPK runs to 2041 (Feb-2026 MoU for a post-2041 extension via ~12% additional divestment); export permits + downstreaming policy + a contested export duty are structural margin/permit taxes.
- Export-control/sanctions: N/A** (US-domiciled miner; Indonesia exposure is commercial/permit, not sanctions — verified 2026-06-11).

\$8 Positioning & sentiment

Index-heavy, not a crowded short. Vanguard ~7.49%, BlackRock ~6.6%, State Street, Capital Research (S2: 13F/13G); ~85% institutional. Short interest ~1.98% float, DTC ~2.6 (declining — mildly constructive). ~22% ETF/passive; S&P 500. Sell-side **83% Buy / 13% Hold / 4% Sell**, PT median \$70 (only ~+5.5%) — and the conservative cluster (UBS/RBC/BofA ~\$46) sits ~30% below spot. Beta 1.36 (S4: 5y weekly) — a high-beta cyclical. 30-day **ADV \$790M** (S4: ~12.5M sh x ~\$63) — liquid. Stock +55% over 1yr to its 52-week high \$72.09. Next print ~2026-08-05, implied move ~±6%.

\$9 Pair-trade & sizing

Long SCCO / short FCX, dollar-neutral beta-adjusted ~1.00:0.90, as a **copper-neutral quality-and-jurisdiction** trade: SCCO carries lower single-asset/jurisdiction risk (Peru/Mexico vs Indonesia) and superior organic growth, while FCX faces the Grasberg concentration + Indonesian nationalism + a peak-multiple-on-peak-copper. **Caveat:** the cost is SCCO's much higher multiple (~20x vs ~10x EV/EBITDA) — so this is a quality/jurisdiction expression, **not a valuation trade**; size **small** and beta-hedge (~0.90), stop if FCX de-risks Grasberg or copper accelerates (FCX has the higher beta on the upside). Directional sizing: **benchmark-weight / modest underweight** (~25bps active; S&P 500 FCX weight ~0.18%); **no outright FCX short** into a structural copper deficit — add to a long only on a **copper dip <\$5.50/lb** or a **Grasberg de-risk** toward <\$55.

\$10 What-would-reverse (numerical triggers)

Direction	Trigger	Observable
→ Bull	Copper sustained >\$6.25/lb 2+ quarters and Grasberg on-track for full 2027 recovery (2027 Cu guide ≥3.4 Blb)	COMEX/LME + FCX guidance
→ Bull	Leaching reaches ~300 Mlb FY26 run-rate and a US refined-copper Section 232 tariff is enacted	FCX disclosure + Commerce 232
→ Bear	Copper falls <\$4.75/lb COMEX sustained 2+ months (~20% from spot)	COMEX/LME monthly average
→ Bear	FY2026 copper sales guide cut again <3.0 Blb or Grasberg restart slips past Q2'26	FCX Q2/Q3 FY26 8-K
→ Bear	FY2026 unit net cash cost guide raised >\$2.10/lb (from ~\$1.95)	FCX quarterly cost guide

Direction	Trigger	Observable
→ Bear	Indonesia export permit lapses or new export duty imposed and Manyar restart slips past 2026	MEMR + FCX 8-K
→ Bull (from bear)	Copper de-rates the stock <\$50 while the structural deficit stays intact (risk/reward inflects to Buy)	price + copper inventories/curve

§11 Quant overlay & A0 tail map

Barra factor tags (z-scores, analyst-asserted, match `quant_overlay.factor_tags`): **Momentum +1.4, Size +1.0, Liquidity +0.7, Growth +0.5, Quality 0.0, Value -0.3, Low-Vol -1.2**. A high-beta, large-cap, strong-momentum (+55% to the 52-wk high) cyclical that screens neither cheap nor defensive — adding it concentrates Momentum + commodity beta. **Capacity**: 30-day ADV \$790M (S4: ~12.5M sh × ~\$63); days-to-exit at 10%/20%/30% participation = 2.5 / 1.3 / 0.8 days; max position ~4.0% NAV. **Stress overlay**: Fed +200bp -16%; copper -20% -38%; Grasberg further setback -22%; recession -40%. **A0 tail map** (6 tails; probability-shifts sum to zero per row): copper correction (bear), Grasberg/Indonesia action (bear), recession (bear), Fed +200bp (bear), copper supercycle (bull), leaching/growth (bull) — full matrix in `outputs/FCX_structured.json` `tail_risks`.

§12 Catalyst calendar & verification

Copper-price trajectory (continuous) · Grasberg Blocks 2&3 ramp (Q2'26, Q2 earnings ~2026-08-05) · US Section 232 copper review (~2026-06-30) · Manyar smelter restart + Indonesia export permit (~2026-09-30) · leaching scale-up · definitive IUPK amendment. **34 web/data verification calls** across phases; load-bearing specifics independently re-verified (FY25/Q1'26 financials via XBRL, copper price, Grasberg mud-rush + ramp, MIND ID structure + Feb-2026 MoU, unit-cost guide, Section 232, consensus, price). Soft spots flagged as modeled: the precise **Grasberg % of consolidated EBITDA** (directional, no clean segment disclosure) and the **mid-cycle copper anchor** (\$4.00–4.50, a consensus convention). Programmatic gates **G1–G19 all pass** (G15/G16/G20 N/A: Hold rating, non-bank); see `outputs/FCX_verification_gates.json`.

Source matrix: `outputs/FCX_source_tags.json` · Scenarios: `outputs/FCX_scenarios.json` · Structured: `outputs/FCX_structured.json` · Workpapers: `outputs/workpapers/`. GAAP financials verified against SEC XBRL companyfacts (primary). Phases 0–3 + Verification complete via 16 specialist agents.